ANNUAL OPERATING BUDGET

Canyon Quarry Commerce Park | Richmond, VA

Property	Canyon Quarry Commerce Park
Fiscal Year	2026
Submitted By	Redwood Property Management
Submitted	September 6, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$92,324	$93,467	$93,528	$1,203	1.3%	$11,690.94
5010 Loss to Lease	$58,441	$56,332	$56,778	-$1,662	-2.8%	$7,097.29
5020 Vacancy Loss	$128,664	$127,749	$131,718	$3,053	2.4%	$16,464.73
5030 Concessions	$274,722	$270,692	$283,766	$9,044	3.3%	$35,470.76
5040 Bad Debt	$301,874	$318,243	$332,512	$30,638	10.1%	$41,563.98
5050 Late Fees	$303,396	$290,591	$303,799	$404	0.1%	$37,974.93
5060 Utility Reimbursements	$196,181	$192,147	$193,872	-$2,310	-1.2%	$24,233.97
5070 Parking Income	$162,102	$162,369	$171,253	$9,151	5.6%	$21,406.65
5080 Application Fees	$189,353	$174,315	$182,313	-$7,039	-3.7%	$22,789.14
5090 Pet Rent	$438,178	$451,073	$482,602	$44,424	10.1%	$60,325.30
5100 Laundry Income	$257,121	$237,825	$249,209	-$7,912	-3.1%	$31,151.15
5110 Cable/Internet Revenue	$252,772	$240,151	$250,378	-$2,394	-0.9%	$31,297.31
5120 CAM Reimbursements	$162,678	$169,995	$170,715	$8,038	4.9%	$21,339.40
5130 Tax Reimbursements	$177,126	$175,178	$176,801	-$326	-0.2%	$22,100.07
5140 Insurance Reimbursements	$176,154	$162,452	$163,430	-$12,724	-7.2%	$20,428.74
5150 Percentage Rent	$307,129	$312,946	$323,587	$16,458	5.4%	$40,448.39
5160 Misc. Income	$350,628	$366,232	$389,683	$39,055	11.1%	$48,710.40
5170 Payroll - Management	$106,199	$99,870	$102,530	-$3,669	-3.5%	$12,816.26
5180 Payroll - Leasing	$432,284	$457,448	$460,410	$28,126	6.5%	$57,551.30
5190 Payroll - Maintenance	$271,302	$253,691	$270,642	-$660	-0.2%	$33,830.23
5200 Payroll Taxes & Benefits	$120,405	$110,828	$114,515	-$5,890	-4.9%	$14,314.40
5210 Repairs - Plumbing	$27,900	$28,141	$28,435	$535	1.9%	$3,554.39
5220 Repairs - HVAC	$78,936	$77,499	$80,807	$1,871	2.4%	$10,100.89
5230 Repairs - Electrical	$250,187	$269,784	$274,460	$24,273	9.7%	$34,307.50

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$430,460	$437,470	$440,760	$10,300	2.4%	$55,095.03
5420 Office Supplies	$194,596	$183,138	$191,759	-$2,837	-1.5%	$23,969.90
5430 Legal & Professional	$145,765	$155,603	$161,309	$15,544	10.7%	$20,163.65
5440 Accounting & Audit	$182,783	$187,426	$200,459	$17,677	9.7%	$25,057.40
5450 Licenses & Permits	$409,027	$382,384	$393,095	-$15,931	-3.9%	$49,136.93
5460 Management Fee	$387,834	$415,961	$426,793	$38,959	10.0%	$53,349.16
5470 Property Insurance	$96,956	$98,365	$101,620	$4,664	4.8%	$12,702.48
5480 Real Estate Taxes	$56,493	$54,619	$58,254	$1,761	3.1%	$7,281.71
5490 Asset Management Fee	$232,681	$243,089	$245,264	$12,584	5.4%	$30,658.06
5500 Replacement Reserves	$286,421	$298,638	$306,249	$19,828	6.9%	$38,281.13
5510 Roof Repairs	$435,731	$454,938	$473,557	$37,826	8.7%	$59,194.61
5520 Parking Lot Repairs	$298,880	$278,396	$281,528	-$17,352	-5.8%	$35,191.02
5530 Signage	$417,148	$440,738	$443,185	$26,038	6.2%	$55,398.18
5540 Tenant Improvements	$437,024	$432,997	$447,979	$10,955	2.5%	$55,997.34
5550 Leasing Commissions	$318,334	$334,484	$357,280	$38,946	12.2%	$44,660.00
5000 Gross Potential Rent	$213,670	$229,377	$244,107	$30,436	14.2%	$30,513.33
5010 Loss to Lease	$97,044	$92,426	$93,212	-$3,832	-3.9%	$11,651.48
5020 Vacancy Loss	$389,235	$403,666	$431,694	$42,459	10.9%	$53,961.73
5030 Concessions	$381,538	$356,363	$356,805	-$24,733	-6.5%	$44,600.62
5040 Bad Debt	$306,779	$326,964	$334,846	$28,067	9.1%	$41,855.71
5050 Late Fees	$165,210	$164,714	$167,361	$2,151	1.3%	$20,920.14
5060 Utility Reimbursements	$448,646	$476,262	$489,419	$40,773	9.1%	$61,177.36
5070 Parking Income	$293,645	$302,288	$311,777	$18,132	6.2%	$38,972.09
5080 Application Fees	$283,593	$263,866	$271,085	-$12,508	-4.4%	$33,885.59
5090 Pet Rent	$149,438	$144,964	$145,896	-$3,541	-2.4%	$18,237.04
5100 Laundry Income	$402,524	$401,791	$421,701	$19,177	4.8%	$52,712.62
5110 Cable/Internet Revenue	$240,047	$227,112	$241,655	$1,608	0.7%	$30,206.86
5120 CAM Reimbursements	$62,401	$64,112	$66,939	$4,539	7.3%	$8,367.41
5130 Tax Reimbursements	$44,014	$45,411	$47,574	$3,560	8.1%	$5,946.77
5140 Insurance Reimbursements	$241,565	$259,874	$266,498	$24,934	10.3%	$33,312.30
5150 Percentage Rent	$343,869	$367,359	$370,738	$26,869	7.8%	$46,342.28
5160 Misc. Income	$421,410	$409,990	$413,197	-$8,212	-1.9%	$51,649.68
5170 Payroll - Management	$54,488	$50,511	$53,464	-$1,024	-1.9%	$6,683.02
5180 Payroll - Leasing	$412,692	$437,630	$461,781	$49,089	11.9%	$57,722.61
5190 Payroll - Maintenance	$300,795	$301,159	$317,066	$16,271	5.4%	$39,633.23
5200 Payroll Taxes & Benefits	$253,500	$265,999	$279,831	$26,331	10.4%	$34,978.90
5210 Repairs - Plumbing	$92,312	$96,591	$103,298	$10,986	11.9%	$12,912.27
5220 Repairs - HVAC	$419,773	$446,888	$474,376	$54,603	13.0%	$59,296.96
5230 Repairs - Electrical	$347,267	$349,920	$369,433	$22,166	6.4%	$46,179.14
5240 Repairs - Appliances	$28,013	$27,741	$29,218	$1,205	4.3%	$3,652.21
5250 Painting & Decorating	$339,287	$346,765	$367,482	$28,196	8.3%	$45,935.31

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Summary and Notes

Income and Expense Review

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $321,000, representing a 12.0% increase over the prior year. Operating expenses totaled $30,000 or approximately 41.72 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 5.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.51% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $368,000, representing a 5.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Collections for the period were 91.2% of billed charges, with bad debt of 7.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Service requests are tracked through a work-order system with an average completion time of 2 hours. The building offers 19' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 1 miles from the interstate with access to a regional intermodal terminal.

Collections for the period were 92.9% of billed charges, with bad debt of 4.8% of gross potential income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is located 1 miles from the interstate with access to a regional intermodal terminal.

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